AML USER GUIDE

Research, Development & Support Office - India

TC No: 15/182, 02nd Floor, Chennankara Building, Althara Junction,

Vellayambalam, Trivandrum, Kerala, India

Tel: 0091 471 4099067/68/69/70

CONTENTS

1. INTRODUCTION 3
2. LOGIN 4
3. DASHBOARD 5
4. WORK FLOW 7
    a) *BLACKLIST* 7
    b) *WHITE LIST* 10
    c) *AML* 11
    d) *STR PROCESS* 15
    e) *REPORTS* 22
    f) *LOG REPORT* 28
    g) *SETTINGS* 33
    h) *MASTER* 41
    i) *AUTHORIZATION* 47
    j) *CUSTOMER* 52
    k) *DELTA* 54
5. CONCLUSION 61

INTRODUCTION

IShield Anti-money laundering system is one of the leading provider of content and information for anti-money laundering (AML) compliance, risk mitigation and enhanced due diligence for KYC.

We offer analytics that increase your ability to reduce manual exceptions, clearly understand risk in your customer base and powerful solutions for enhanced due diligence that help identify the priority of those risks. Our solutions integrate into your systems and provide flexibility and the highest levels of security and privacy. You can depend on our system to optimize the integrity of your processes, maintain public trust and the scrutiny of your regulator.

The main specifications of *iShield* are:

- Increase confidence in your organization's ability to better verify identities, prevent fraud and help you stay compliant with the most comprehensive data-driven capabilities and technology in the industry.
- Light-weighted no SQL technology of the *iShield Anti-money laundering system* helps the user to search out the data at a faster pace.
- Identifies high-risk individuals and organizations by monitoring transactions for suspicious activities.
- Instant alert to users when a 'blacklisted' individual or organization transacts a business.
- *IShield Anti-money laundering system* helps the organization to complete the full cycle of identifying a suspicious individual or organization, and doing further analysis and finally communicating the information to the statutory authorities.
- Provides archiving and reporting to support audits and examinations.
- The fast, comprehensive tool helps you streamline your anti-money laundering investigations and perform due diligence research.
- Instantaneous identity authentication, assess financial risk and examine assets and relationships—all within a single, easy-to-use online resource.
- Effective OFAC Screening solutions can help prevent you from doing business with potential terrorists.
- Enhanced due diligence tool searches, uncovers and verifies connections from among billions of public records and delivers actionable results that help you protect your business and reputation, and know your customers inside and out.
- Auto-Updating of OFAC, EU, UK, and UN lists will reduce the manual work.

LOGIN

The users will be assigned with user name and password.

DASHBOARD

A single, comprehensive and fully cross-referenced solution helps you quickly locate and associate links between people, businesses, assets, and locations through a variety of easy-to-understand subject summaries and broader detailed views. The dashboard acts as an activity log wherein the details regarding the search and blacklist are included. It alerts you to any indicators of fraud by identifying potentially high-risk data elements and alerts. Provides a schematic representation for the Blacklist Data Analysis with a count, transactions count, and count of names searched, the count of STR records & STR pending, the count of AML rules created will be listed.

The admin would be assigned with all the menus. Admin has to create users and assign the menus.

BLACKLIST PROFILES: This shows the total count of blacklist data available in the system

TRANSACTIONS: This shows the total count of transactions updated to the system.

NAMES SCREENED: Signifies the total blacklist names screened

PROCESS RECORDS: This shows the total count of transactions processed

LAST DAY RELEASED: This shows the total count of transaction released the previous day from the Authorization menu.

AML RULES: Signifies the total number of rules available in the system online, Offline and Risk rules

BLACKLIST DATA BREAKDOWN: This pie diagram displays the percentage of blacklist data available in the system from various data providers.

CUSTOMER RISK DATA BREAKDOWN: This pie diagram displays the percentage of customer classified as High Risk, Medium Risk, and Low Risk

BUSINESS RISK AND AML RULE ANALYSIS: The rules and the count of transaction matched against those rules

NOTIFICATIONS: The update regarding the data and blacklist automatically updated to the system.

WORKFLOW

BLACKLIST

Navigation

Blacklist → Sanction Screening

DESCRIPTION

In the Blacklist menu, the users have options to add blacklist names, Search the blacklist details and upload the list.

IShield Anti-money laundering system employs sophisticated, flexible search technologies to optimize each investigation. You can start your search with any piece of the puzzle. There are no mandatory search fields and searches on elements like names of individuals, cities, streets, and nicknames that are further enhanced by phonetic "sounds like" technology.

The different categories in search are:

- Match all words
- Match any one word
- Exact Matching
- Metaphoric Matching

Match all words: It will give the result with whole words matching.

Match any one word: It gives out the result when anyone word matches.

Exact Matching: It gives out the result when the word matches exactly.

Metaphor Matching: It is an advanced level searching. It gives the result even the spelling is incorrect. Metaphoric match search is implemented using the Fuzzy Logic System with Artificial Intelligence.
To search the blacklist, choose the type of mode from the drop-down. For the modes metaphore match and sound like match, the user has to adjust the score. Based on score percentage search takes place.

WATCHLIST

NAVIGATION

Blacklist → Add/ Edit Watch list

DESCRIPTION

This menu enables the user to add any customer name to watch list data.

In case of any name reported by the Central bank or Police department, the user can add it manually. While processing the transaction the name screening will happen against the Watchlist data also.
The user can block the names by selecting the 'is block' option. The customer can't perform a transaction from the core application.

BULK SCREENING

NAVIGATION

Blacklist → Bulk Screening

DESCRIPTION

Bulk Screening used for screening the names in a bulk quantity. Template downloading option is available. In that template the user can add names and upload, the system will provide the matching details against the blacklist names.

WHITE LIST

The User can enter the details manually through the “White list” menu. Also, while marking a transaction as Non- suspicious the system will prompt to white list the customer.

AML

CUSTOMIZE RULES

NAVIGATION

AML → Customize → Rules

DESCRIPTION

- The AML search processing can be performed based on the templates and set of rules that are customized by the users.
- The users can define their own set of symbols, templates, conditions, etc. for the AML data processing.
- The data format structure can be completely customized by the users using various rules and templates defined by the users
- The users can implement multiple criteria for making their own searching and frequently accessed data to implement their own optimizations in the system

TO CREATE THE RULES

- Provide the specified rule in 'Rule Name' and 'Description'.
- In the conditions section, the field name has to be selected from the drop-down.
- In the conditions tab, the conditions can be defined either by using symbols or 'IN/ NOT IN' condition.
- Then choose the 'Add' tab to add the conditions. Multiple conditions can be added in a rule.
- The rules can be assigned as 'Auto' and 'Manual' rule. Based on this, the rules are defined as automatic rules
- If the rule type is selected as 'Inline rule', then it can be defined using the SQL query.

PROCESS AML

NAVIGATION

AML → Process AML

DESCRIPTION

AUTOMATED PROCESS

- An automated process, based on the configured scheduler the transactions will be automatically screened against the pre-defined rules.
- The transactions will be automatically updated to the I Shield application.

MANUAL PROCESS

- For manual processing of the transaction, the date range of the transactions and template based on which process should be done is specified.
- To process the AML manually
    - Choose the date range of transactions.
    - Choose the Template in the Template box or the rules from the selection box.

STR HISTORY

NAVIGATION

AML → STR History

DESCRIPTION

- The complete transaction AML process history will be listed here.
- The details can be searched out using STR type, Reference No, Process Data, and Rules.
- The status of transactions which has undergone various processes will be clearly depicted here.
- If the user wants to reopen a suspicious transaction, it can be done from the Action tab
- Also, notification mail can be sent to branches for the ISTR Assigned transactions

STR PROCESS

NAVIGATION

STR Process → Alerts

DESCRIPTION

- The processed transactions which match up with the rules specified will be listed out here.
- The authorized user can search the transactions using a date range, rules, and templates.

To assign the STR Alerts

- Choose the Template or Rules from the selection box.
- Select the date range.
- Depending upon the rules the transactions will be listed out.
- After selecting the transactions, in 'Update STR Status' tab choose 'DISPOSE' or 'EDD Analyst'
- User can add comments according to STR status
- SAVE

EDD ANALYST

NAVIGATION

STR Process → EDD ANALYST

DESCRIPTION

The transactions assigned to the EDD analysts will be listed out here.

STR Branch [KYC DETAILS]

- In the ‘KYC’ window, the transaction details will be shown.
- Here, the respective transactions can be assigned as ‘Suspicious’ or ’Non- suspicious’.
- Further, the transaction assigned as ‘Suspicious’ is supervised by the ISTR MLRO Department.
- The transaction will be closed from there when it is assigned as ’Non- suspicious’.
- The transaction will be moved to ISTR MLRO if there’s no action taken from EDD Analyst in 3 days.

ISTR MLRO

NAVIGATION

STR Process → ISTR MLRO

DESCRIPTION

- The transactions assigned as Suspicious can be searched out using the template, rules or STR Status.
- The KYC details can be viewed in the 'KYC' tab
- ISTR MLRO also have the option to freeze the transaction and only they can unfreeze it later.

EDD ANALYST MONITORING

NAVIGATION

STR Process → EDD Analyst Monitoring

DESCRIPTION

- The alerts which violated transaction monitoring rules will be displayed in EDD Analyst Monitoring.
- The transactions can be marked as Suspicious, Non-suspicious, dispose and reassigned.
- The reassigned transactions require surveillance again. And the process will again start.
- The transaction will be closed from there when it is assigned as 'Non- suspicious'.
- The transaction will be moved to ISTR MLRO Monitoring if there's no action taken in 7 days.

ISTR MLRO MONITORING

NAVIGATION

AML → ISTR MLRO Monitoring

DESCRIPTION

- The transactions assigned as Suspicious can be searched out using the template, rules or STR Status.
- The KYC details can be viewed in the 'KYC' tab.
- ISTR MLRO also have the option to freeze the transaction and only they can unfreeze it later.

REPORTS

ALERT REPORTS

NAVIGATION

Reports → Alert Reports

DESCRIPTION

Alert Reports shows the reports of Offline transaction monitoring alerts.

TRANSACTION REPORTS

NAVIGATION

Reports →Transaction Report

DESCRIPTION

- Transaction Report provides detailed information about each transaction
- The report can be filtered on the basis of
  - Transaction type
  - Branch
  - Transaction start date
  - Transaction end date
  - Count of transaction (all, paid)
  - Account No.
  - Nationality
  - Benf Country
  - Correspondent Country
  - ID Type
  - ID No.
  - Sender Code
  - Sender Name
  - LCY Amount >
  - Sender DOB
  - Status

BLACKLIST REPORT

NAVIGATION

Reports → Blacklist Report (WC/PEP Report)

DESCRIPTION

This report displays the details of the blacklist data on the basis of the created/ deleted/ updated date.

TRANSACTION RELEASE REPORT

NAVIGATION

Reports → Transaction Release Report

DESCRIPTION

This report displays the authorized/rejected transactions listed in the real-time authorization page.

ONLINE STR REPORT

NAVIGATION

Reports → Online STR Report

DESCRIPTION

This report displays a suspicious transaction report. This report can be obtained by adding the filtered by alert type, branch, customer code and can be sort according to the reference number, customer code, etc.

TRANSACTION ANALYTICS REPORT

NAVIGATION

Reports → Transaction analytics report

DESCRIPTION

- The iShield Analytics provides a graphical view of transaction percentage
- The graph can be modified to provide the result on the basis of
  - Amount
  - Currency
  - Nationality
  - Risk
  - Country

LOG REPORT

PROCESS LOG

NAVIGATION

Log Report → Process Log

DESCRIPTION

- Process log contains all the corresponding details on AML processes
- The number of records, processed by whom and by which rule the transactions are processed can be viewed in the process log
- The process log details can be fetched between a date range

UPLOAD LOG

NAVIGATION

LOG Reports → Upload Log

DESCRIPTION

This log report shows the total transaction logs which are updated in the application.

SUSPICIOUS LOG

NAVIGATION

LOG Reports → Suspicious Log

DESCRIPTION

This log report shows the details of the suspicious transactions.

CUSTOM REPORTS

NAVIGATION

LOG Reports →Custom reports

DESCRIPTION

In the custom report, the user can able to view the total number of transaction (remittance, incoming, and forex), score-based rules, auto rules, online rules, and manual rules.

MONTHLY SCREEN DATA REPORT

NAVIGATION

LOG Reports → Monthly Screen Data Report

DESCRIPTION

Monthly screen details show the screened data of the customers, beneficiary and UBO with respect to the database blacklist data.

SETTINGS

USERS GROUP

NAVIGATION

Settings → User Groups

DESCRIPTION

- New user groups can be created here.
- Under these user groups only specified users can be assigned
- User groups can be edited updated and deactivated

USERS

NAVIGATION

Settings → Users

DESCRIPTION

- The users are created under specific user groups.
- The details regarding the user should be mentioned here. Mainly the user Id and password assigned to the users are created here.

MENU MASTER

NAVIGATION

Settings → Menu Master

DESCRIPTION

- The main menu and sub-menu can be created in this option.
- In order to add a new menu, the parent menu, path and position have to be mentioned.
- The menu can be assigned for each user based on user groups.

MENU MAPPING

NAVIGATION

Settings → Menu Mappings

DESCRIPTION

- On the basis of user groups, menus can be assigned.
- So for the desired user the assigned menus only will be shown.

RISK RATE SETTINGS

NAVIGATION

Settings → Risk Rate Settings

DESCRIPTION

The user can manually set the risk values. The risk rate can be assigned for both 'Customer' and 'Transaction'. Based on the score assigned to the rules, the transaction and customer are categorized as 'High Risk', 'Medium Risk' and 'Low Risk'.

The rules will be assigned to the risk rate value. In the Risk Rate Setting master, a predefined benchmark will be assigned.

When a transaction matches with rules, the risk values will be calculated based on the average value of the score assigned to the rules. If the average value falls in between the risk benchmark value, the transaction and customer will be assigned as 'High risk', 'Medium Risk' and 'Low Risk'.

SCREENING SCORE

NAVIGATION

Settings → Screening Score

DESCRIPTION

The system screening is based on the weightage concept now. The overall score will be based on the weightage given to Name match, Nationality match and DOB match. For each parameter we can set the weightage score.

Under the weightage percentage, we can give the respective weightage for each parameters and under the cumulative weightage, we can set the overall min score threshold. The match which is having a score above or equal to that cumulative weightage will be generating an alert in the system.

Examples:

Case1
Name match = 100%
Nationality match- true
Dob match- true

Then overall score with the current master will be

Overall score= (name match name weightage)100 + nationality match + dob match
For this example the overall score = ((100* 85)/100) + 10 + 5
Overall score = 100;

Case 2;
Name match = 90%
Nationality match = false
Dob match = true

Then overall score = ((95* 85)/100) + (5*0) + (10*1)
= 80.75+ 10+0
= 90.75;

Case 3;

Name match = 80%
Nationality match= false;
Dob match= false;

Overall score = ((80*85)/100) + (5*0) + (10*0)
= 68+0+0
=68;

SETUP CONTROL

NAVIGATION

Settings → Setup Control

DESCRIPTION

Setup control is a page which is used to enable/disable the screening scenarios in the iShield like Customer name screening, Cust_name_nationality screening, DOB, Cus_id_no screening like that there are many Syscontrols in the systems for checking the screening of Benef_bank, correspondent bank, partner/owner representative, so each screening scenarios will have a SysControl. From this Setup control we can directly enable/disable these screenings. Similarly, once changes are made then the system will screen accordingly.

CHANGE PASSWORD

NAVIGATION

Settings → Change Password

DESCRIPTION

In Change password, we can change the user password manually.

RISK ASSESSMENT MASTER

NAVIGATION

Settings → Risk Assessment Master

DESCRIPTION

In Risk Assessment Master page, we can add key risk indicators such as Geographical Risk Factors, Client Risk Factors and Product and Delivery Channel Risk with respect to risk weightage.

MASTER

NATIONALITY MASTER

NAVIGATION

Master → Nationality Master

DESCRIPTION

In Nationality Master, we can configure the High-Risk Nationalities.
While punching the transaction in the Core application, it will be matching up with the High- Risk Nationality list configured here.

COUNTRY MASTER

NAVIGATION

Master → Country Master

DESCRIPTION

The user can configure the High-Risk countries in this master.

While punching the transaction in the Core application, it will be matching up with the High- Risk country list configured here.

UNBLOCK CUSTOMER

NAVIGATION

Master → Unblock Customer

DESCRIPTION

Unblock customer menu is used to unblock the blocked customer. In this menu, the user can view the blocked customer using the respective customer code.

AUTHORIZATION

SANCTION ALERT AUTHORIZATION

NAVIGATION

Authorization → Sanction Alert Authorization

DESCRIPTION

- Sanction Alert Authorization showing alerts based on the names capturing against sanction list.
- After the verification, the AML officer can release, reject or assign the transactions to EDD for more details.
- After assigning to the EDD, the transactions will appear in the 'EDD Analyst' option.
- The transaction will be authorized from the EDD Analyst –>ISTR MLRO. Then it should be released from the Hold Transactions option.

RISK CALCULATE

NAVIGATION

Authorization → Risk Calculate

DESCRIPTION

In Risk Calculation page, we can calculate the risk of different clients of exchange houses and banks etc..

CUSTOMER

CUSTOMER AUTHORIZATION

NAVIGATION

Authorization → Customer Authorization

- The menu enables the user to authorize or reject a customer matched against the blacklist data while customer registration.
- Based on the investigation, the user can authorize or reject the customer. The criteria for name match are exact name, nationality or DOB match.
- The customer real-time risk will be calculated at the time of registration.

CUSTOMER SCREENING REPORT

NAVIGATION

Customer → Customer Screening Report

DESCRIPTION

Customer Screening Report which shows the customer screened report, whether the customer name is screened against any blacklisted or watch-listed list at the time of onboarding.

CUSTOMER KYC

NAVIGATION

Customer → Customer KYC

DESCRIPTION

In Customer KYC, when we give particular customer code it shows entire customer details of last 90 days transaction details like what all transactions get holded or released also it shows what all online and offline rules violated and if there is any document uploaded that will also show in Customer KYC.

DELTA

Delta is a periodic screening module.

In this, the system will frequently screen all profiles with the newly updated/inserted sanction data.

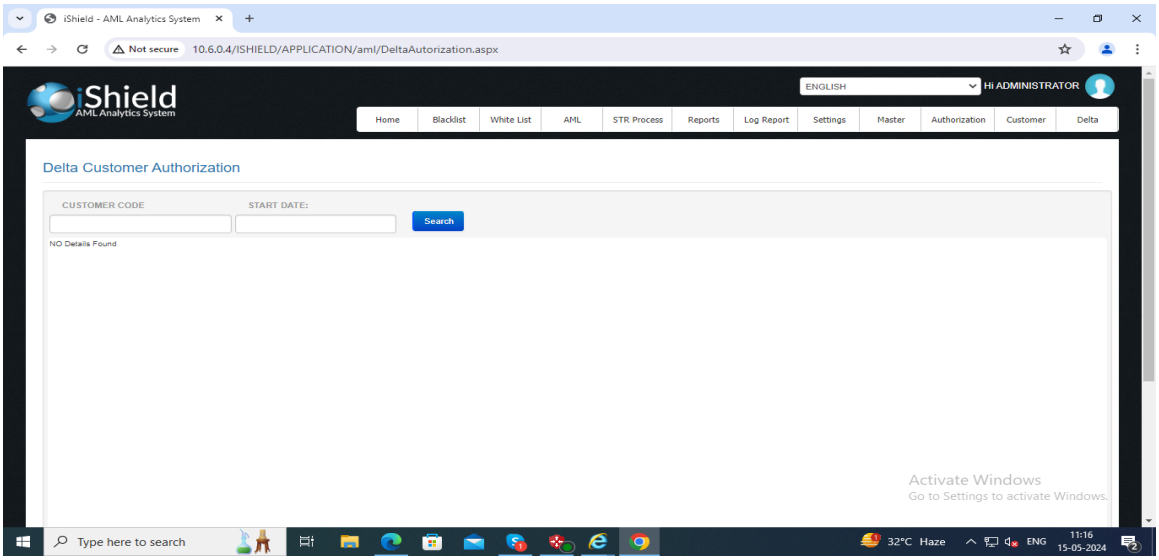
AUTHORIZATION

NAVIGATION

Delta → Authorization

DESCRIPTION

In this page, user can authorize the delta customer.



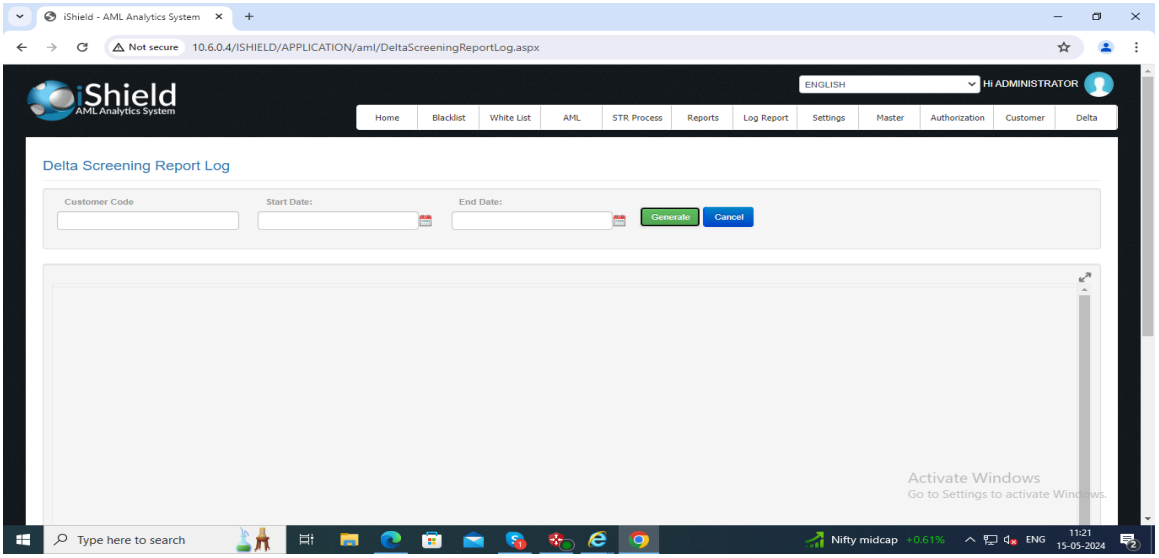
LOG REPORT

NAVIGATION

Delta → Log Report

DESCRIPTION

Delta screening report shows the data of authorized delta customers.



CONCLUSION

- The most important responsibility of a financial organization is to anticipate new criminal behavior and to proactively implement protocols before criminal behavior occurs
- Fight fraud and protect your assets with the iShield Anti-money laundering system.
- This fast, comprehensive tool helps you streamline your anti-money laundering investigations and perform due diligence research.
- Enjoy instantaneous identity authentication, assess financial risk and examine assets and relationships—all within a single, easy-to-use online resource.